

Did Wage Growth Keep Pace With Inflation After 2020?

A data-driven analysis of U.S. inflation, wage growth, and real hourly earnings from January 2020 onward.

Key finding: Inflation temporarily outpaced wage growth during the 2021–2022 inflation surge, weakening real hourly earnings before they later recovered.

Data & Methodology

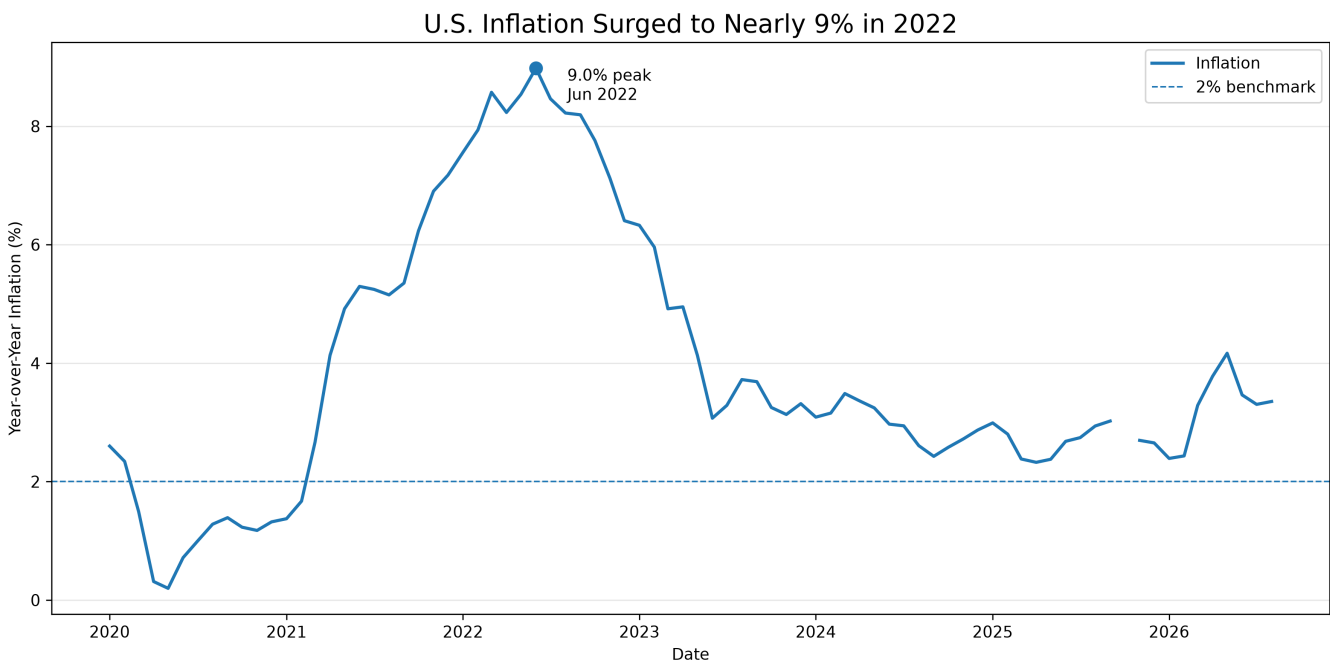
Monthly U.S. data from the Federal Reserve Economic Data (FRED) were used to compare consumer-price inflation with wage growth from January 2020 onward. Inflation is measured using the year-over-year change in CPI, while wage growth is measured using the year-over-year change in average hourly earnings. Real hourly earnings are calculated by adjusting nominal earnings using CPI, with January 2020 set as the baseline (100).

Sources: FRED — CPIAUCSL and AHETPI.

Metric	Finding
Inflation peak	8.98%
Wage growth at peak	6.58%
Wage–inflation gap	-2.40 percentage points
Real earnings low	101.12
January 2020 baseline	100.00

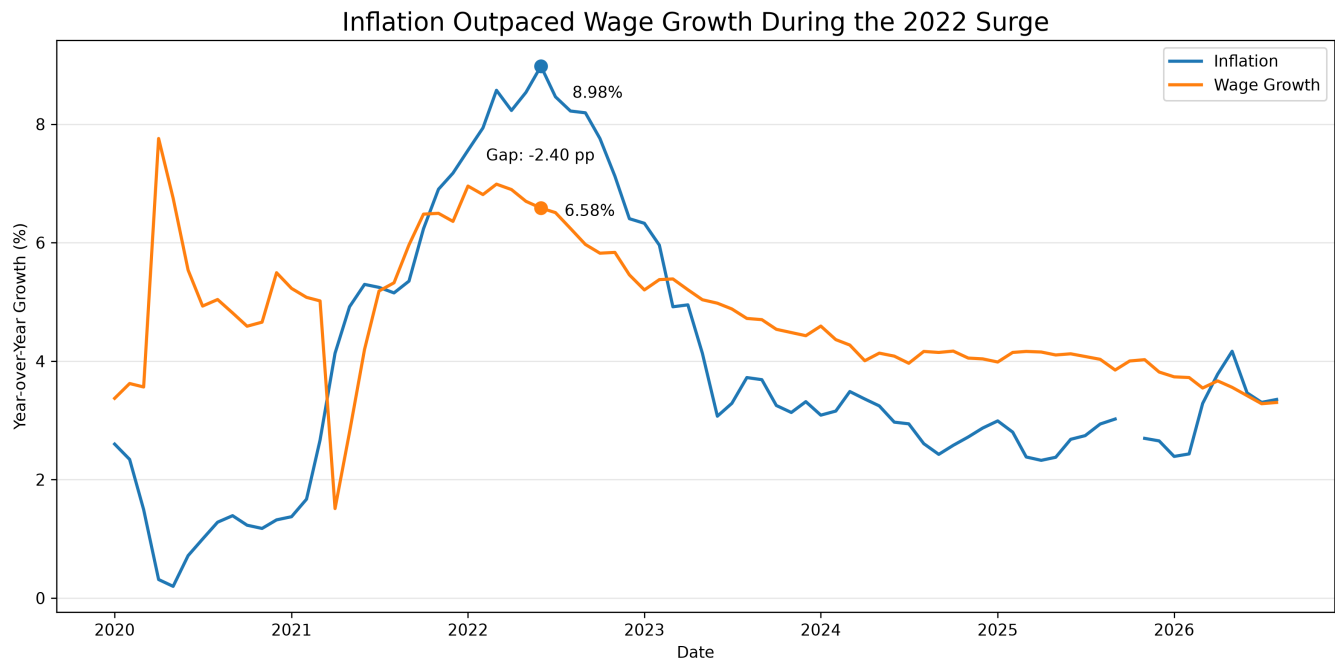
1. Inflation Surged

U.S. inflation accelerated sharply after 2020, reaching a peak of 8.98% year-over-year in June 2022. The dashed line represents the 2% inflation benchmark.



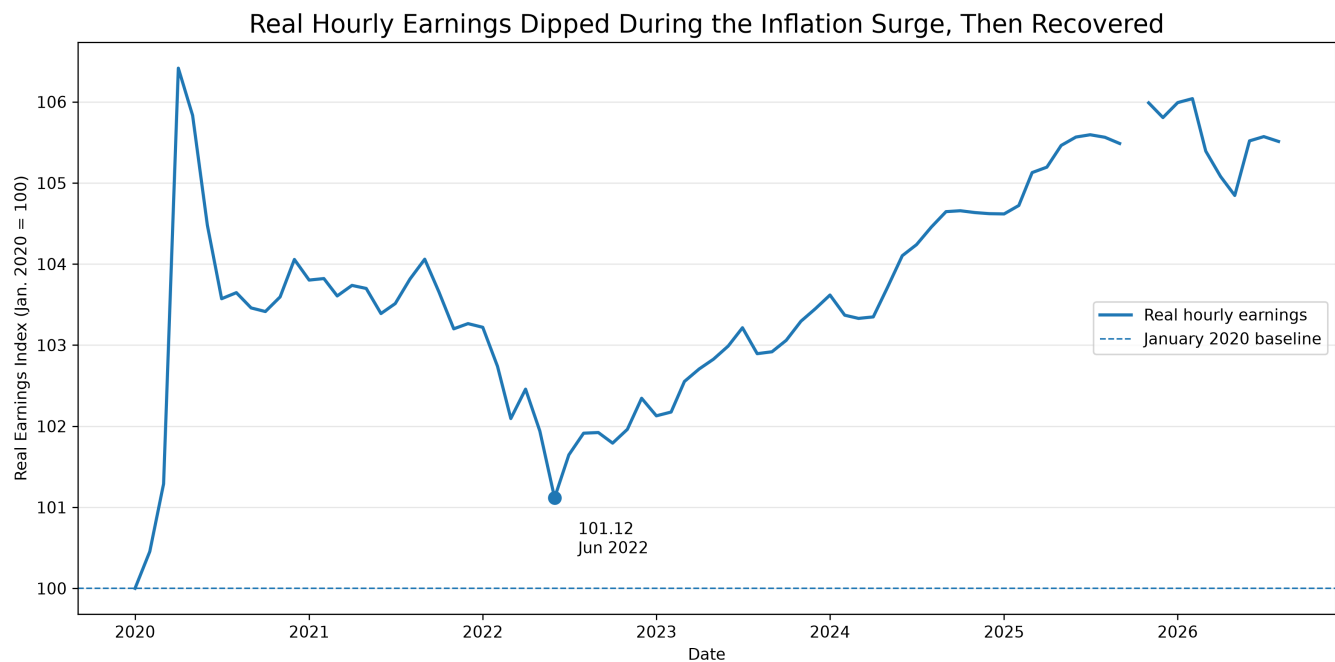
2. Inflation Outpaced Wage Growth

Wage growth also accelerated after 2020, but it did not keep pace with inflation during the peak of the surge. In June 2022, inflation reached 8.98% while wage growth reached 6.58%, creating a 2.40 percentage-point gap.



3. Real Hourly Earnings Dipped, Then Recovered

Real hourly earnings reached a post-2020 low of 101.12 in June 2022, using January 2020 as the 100 baseline. Real earnings subsequently recovered and reached approximately 105–106 by 2026.



Conclusion

Inflation temporarily outpaced wage growth after 2020, weakening real purchasing power during the 2021–2022 inflation surge. However, real hourly earnings later recovered and remained above their January 2020 level.